Fiscal pressures narrow room to respond to the next recession

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【メール原文】

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summary

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A higher debt burden means governments will enter the next recession with far less fiscal space than in 2008 or 2020.
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Investor optimism over the policy landscape in a potential Flavio Bolsonaro administration is well grounded, but there are some looming risks.
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The EU will advance several legislative initiatives before the 2027 election super-cycle begins, narrowing room for compromise.
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EG expects the Houthis to avoid attacks on Saudi oil that may cause a major price spike in an attempt to keep the US out of the war.
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Countries and sectors in this edition of the Daily Brief include the US, Brazil, China, Ethiopia, the EU, Israel, Nigeria, Saudi Arabia, Global Macro, and trade.

the top line

Global Macro—Governments' fiscal squeeze narrows room for next downturn

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Higher bond yields are locking the US and France into a debt dynamic in which each year of delay increases both the fiscal tightening required and the risk of further yield rises.
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Governments will enter the next recession with far less fiscal space than in 2008 or 2020 and will have to choose between a smaller response and higher yields that would likely hit France and the UK first.
*
Structural fiscal pressures, including aging-related costs, will further constrain strategic priorities such as defense, while faster growth from AI would help, but it would not fix the fiscal arithmetic.

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Read more here . Reach out to discuss: globalmacro@eurasiagroup.net .

Brazil—Investor optimism over a Bolsonaro administration is well-grounded

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On economic management, fiscal consolidation, and measures to attract private investment, Bolsonaro's agenda would be constructive, with no large hurdles for congressional approval.

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As an oil and gas powerhouse, Brazil is well-positioned in a world of growing geopolitical conflict (see note , 26 January). It has the world's second-largest rare-earth reserves, clean energy, and potential for even more agricultural production without deforestation.

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These assets will grow in value over time as countries are focused on national food, energy, and mineral security.

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However, key risks include public opinion standoffs, institutional degradation, the level of involvement Jair and Eduardo Bolsonaro will have in the administration, and environmental degradation.

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Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

EU—Draghi agenda enters critical window ahead of 2027 election cycle

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The EU competitiveness agenda is entering a critical six-month period, during which the EU will advance several legislative initiatives before the 2027 election super-cycle begins and narrows room for compromise.

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Key measures that will likely move forward include plans for deeper capital markets integration, revised antitrust rules to support greater scale, and trade and industrial policy steps to shield critical sectors from unfair competition.

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The EU aims to reach a deal on its next budget for 2028-2034 by early next year, though this will feature only a modest uptick in investment, while proposals to complete banking sector integration remain a long shot, and plans for electricity markets integration have been scaled back.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

Saudi Arabia, Yemen—Houthis likely to avoid market-moving strikes on Saudi oil

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Despite the Houthis attack on Saudi Aramco’s headquarters, EG expects the group to avoid major attacks targeting Saudi Arabian oil that cause a price spike in an attempt to keep the US out of the war.

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Trump continues to resist Saudi requests for direct intervention and is unlikely to authorize operations before the US midterm elections under current battlefield conditions.

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A US entry into the conflict would, however, weaken the Houthis' incentive to exercise restraint. However, this scenario has become less likely given the lack of battlefield successes by the Saudi-backed Yemeni government.

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Without US intervention, the Saudi-backed Yemeni offensive is heading toward defeat.

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Read more here . Reach out to discuss: mena@eurasiagroup.net .

Israel—Election outlook

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The Israeli election is too close to call, with the two main blocs polling in the low-to-mid-50 Knesset seats; the most likely outcome is an inconclusive vote leading to a repeat election, with Israeli Prime Minister Benjamin Netanyahu remaining as caretaker for several months.

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A minority government led by former Israeli Defense Forces chief of staff Gadi Eisenkot, with passive Arab party support, is assessed at nearly even odds—the clearest path to replacing Netanyahu.

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President Donald Trump has quietly distanced himself from Netanyahu, likely calculating that a new Israeli government would be more useful for advancing his Gaza plan, Saudi normalization, and Abraham Accords expansion.

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Read more here . Reach out to discuss: mena@eurasiagroup.net .

upcoming conference calls

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15 October 11:00 AM ET—USMCA update. Register here .

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16 October 10:00 AM ET—Global minerals update ahead of LME week. Register here .

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22 October 10:00 AM ET— US politics update with former Treasury deputy secretary Derek Theurer. Register here .

eg in brief

EU, China, Trade—Hybrids deal won’t stop gradual EU trade policy tightening: A 9 October agreement will cap future EU hybrid imports from China at around half of 2026 levels, but does little to address broader European concerns about industrial overcapacity and will not deter the EU from gradually tightening trade and industrial policies. The EU will likely extend restrictions to new sub-sectors, barring more agreements in the coming months, while also moving forward with legislation to restrict China’s access. Beijing’s willingness to accept EU caps on hybrid vehicle imports reflects an acknowledgment of

European concerns and an increased desire to avoid a more disruptive trade dispute with Brussels. Read more here . Reach out to discuss: europe@eurasiagroup.net .

Nigeria—Tinubu's pre-election fuel concessions likely to be temporary: Opposition candidate Atiku Abubakar's subsidy message is gaining traction in the north, pushing President Bola Tinubu to try to hold petrol prices near current levels until after the elections. Because the administration cannot control private petroleum marketers, any price modulation mechanism would focus on forcing the Nigerian National Petroleum Company to limit price increases and on hoping that the Dangote Refinery does the same. However, these concessions are unlikely to become permanent, as Tinubu retains strong incentives to preserve market-based pricing and would have room to unwind these measures after an election he is still likely to win. Read more here . Reach out to discuss: africa@eurasiagroup.net .

Ethiopia—War likely to remain largely contained within Ethiopia's borders: Despite Eritrean forces backing the rebel side in Ethiopia's civil war and Addis Ababa's ambitions to seize the Assab port in Eritrea, the near-term basecase is for conflict to remain largely contained within Ethiopia's borders (50%). This would carry an economic impact comparable to other local insurgencies. Alternate scenarios carry the highest operational and economic risks for clients as well as for creditor discussions and IMF progress. Egyptian and Sudanese military support will continue for Ethiopia's adversaries, but in no scenario is it likely to translate into a regionalization of the conflict. Read more here . Reach out to discuss: africa@eurasiagroup.net .

Upcoming events:

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15 October: Data: US retail sales and PPI.

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16 October: Data: Eurozone CPI, US cross-broder investment, IP, and import price index.

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We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

"The word fear does not exist in the Saudi dictionary."—Saudi Energy Minister Prince Abdulaziz bin Salman told the World Petroleum Council Congress on Monday.

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